

CASE ID: 199202710816

EPISODE NAME: China-Vietnam Oil Exploration Dispute

1992/02/25 - 2000/12/25

Sender: China (710)

Target: Vietnam (816)

Issue: Solve Territorial Dispute (5)

Final Outcome: Negotiated Settlement following sanctions imposition (10)

Narrative:

On 1992/02/25, China threatened sanctions against foreign nations who would frustrate its territorial interests by passing the “Law on the Territorial Sea and the Contiguous Zone,” claiming the entire South China sea.¹ They then made a deal with US company Crestone, on 1992/06/18,² to explore for oil in the South China sea around Vanguard Bank.³ Meanwhile, Vietnam made an overlapping claim to oil exploration around Vanguard Bank in May 1993 with Norwegian company STATOIL.⁴ When Crestone announced in June 1994 that it would start drilling for oil in late 1994 or early 1995, Vietnam began drilling for oil on 1994/06/23.⁵ Then on 1994/07/18, China escalated the situation, and imposed sanctions on Vietnam by blocking Vietnam’s oil drilling activities in the South China sea with two warships, and forcing a supply ship to withdraw.⁶

Creating anxiety over this situation was the recent history of China and Vietnam’s dispute over the South China sea. In the 1980s, China began to aggressively assert its claims over the South China sea. It deployed soldiers to Fiery Cross Reef in 1988, and was met with resistance by Vietnam, which deployed a landing ship, two transport ships, and 100 soldiers to build outposts on several reefs, including Johnson South Reef. On 1988/03/14, China took control of Johnson South Reef after destroying all three Vietnamese ships and killing 64 Vietnamese sailors and infantry.⁷

The tensions between China and Vietnam were eased starting in 1994/11, with China

¹ “China’s Maritime Disputes.” *Council on Foreign Relations*, 2024.

<https://www.cfr.org/timeline/chinas-maritime-disputes>.

² Kristof, Nicholas. “China Signs U.S. Oil Deal for Disputed Waters.” *The New York Times*, June 18th, 1992. <https://www.nytimes.com/1992/06/18/world/china-signs-us-oil-deal-for-disputed-waters.html>.

³ Thayer, Carl. “A Difficult Summer in the South China Sea.” *The Diplomat*, November 2019. https://www.viet-studies.com/kinhte/SummerDifficultSCS_Thayer_Diplomat.pdf.

⁴ Ibid.

⁵ Richardson, Michael. “Vietnam Drills for Oil in Block Claimed by China.” *The New York Times*, June 23rd, 1994.

<https://www.nytimes.com/1994/06/23/business/worldbusiness/IHT-vietnam-drills-for-oil-in-block-claimed-by-china.html>.

⁶ Richardson, Michael. “China Blocks Supplies for Vietnamese Oil Rig : Face-Off in South China Sea.” *The New York Times*, July 19th, 1994.

<https://www.nytimes.com/1994/07/19/IHT-china-blocks-supplies-for-vietnamese-oil-rig-faceoff-in-south-china-sea.html>.

⁷ “Vietnam’s rare commemoration of a deadly South China Sea battle is a quiet but direct message to Beijing.” *Business Insider*, May 24th, 2022.

<https://www.businessinsider.com/vietnam-marks-johnson-south-reef-battle-amid-tensions-with-china-2022-5>.

and Vietnam agreeing to peacefully resolve the conflict over oil exploration in the South China sea.⁸ China and Vietnam signed a joint statement for “comprehensive cooperation in the new century” on 2000/12/25, agreeing not to threaten or use force in maritime disputes, but rather use existing mechanisms for peaceful negotiation.⁹

⁸ Thayer, Carl. “A Difficult Summer in the South China Sea.” *The Diplomat*, November 2019. https://www.viet-studies.com/kinhte/SummerDifficultSCS_Thayer_Diplomat.pdf.

⁹ “Vietnam, China sign Joint Statement for comprehensive cooperation.” *Embassy of the Socialist Republic of Vietnam in the United States of America*, December 25th, 2000. <https://vietnamembassy-usa.org/news/2000/12/vietnam-china-sign-joint-statement-comprehensive-cooperation>.